

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10 and 16-11

IN RE VEHICLE CARRIER SERVICES

**RESPONDENTS' CONSOLIDATED REPLY TO
COMPLAINANTS' APPEAL FROM THE INITIAL DECISION
GRANTING IN PART AND DENYING IN PART
RESPONDENTS' MOTION TO DISMISS**

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Respondents Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC; Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc.; EUKOR Car Carriers Inc.; Compañía Sud Americana de Vapores S.A. and CSAV Agency North America, LLC; Höegh Autoliners Holdings AS, Höegh Autoliners AS, Höegh Autoliners, Inc., Autotrans AS and Alliance Navigation LLC; Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA) Inc., World Logistics Service (U.S.A.) Inc. and Nissan Motor Car Carrier Co., Ltd.; and Kawasaki Kisen Kaisha, Ltd., and “K” Line America, Inc. (collectively, “respondents”), by and through their undersigned counsel, submit their reply to complainants’ July 30, 2018 appeal (the “Appeal”)¹ from the May 7, 2018 initial decision granting in part and denying in part respondents’ motion to dismiss (the “Initial Decision”).

For the reasons that follow, the Appeal should be denied, and the Initial Decision adopted by the Commission.

¹ Complainants titled their application as “complainants’ appeal from the initial decision granting in part and denying in part respondents’ motion to dismiss and supplemental motion to dismiss.” Complainants are (a) the freight forwarder/ocean transportation intermediary complainants in Dk. No. 16-01, (b) the end-payor complainants in Dk. No. 16-07, (c) the truck center complainants in Dk. No. 16-10, and (d) the auto dealer complainants in Dk. No. 16-11. Although considered part of the actions consolidated under the *In re Vehicle Carrier Services* caption, the complaint in Dk. No. 17-09 (the “Fiat Chrysler complaint”) was filed nearly six months after respondents filed their consolidated motion to dismiss complainants’ complaints in Dk. Nos. 16-01, 16-07, 16-10, and 16-11. As a result, by an initial scheduling order dated October 18, 2017, respondents were granted leave to file a supplemental motion to dismiss; respondents filed their supplemental motion to dismiss on November 30, 2017, the Fiat Chrysler complainants filed their opposition thereto on January 11, 2018, and respondents filed their reply to that opposition on January 26, 2018.

The supplemental motion to dismiss was addressed to the Fiat Chrysler complaint, and the Fiat Chrysler complainants did not appeal the portion of the Initial Decision that addressed the supplemental motion to dismiss; neither the Fiat Chrysler entities nor respondents’ supplemental motion to dismiss are part of this appeal. Instead, on August 9, 2018, the parties to the Fiat Chrysler complaint, Dk. No. 17-09, filed a joint status report, as required by the May 16, 2018 order on respondents’ consolidated motion for an extension of time, and pursuant to which it will be litigated separate from this Appeal.

REPLY TO REQUEST FOR ORAL ARGUMENT

Complainants have requested oral argument on all three of the issues they have raised in the Appeal. App. at 1. Respondents respectfully submit that, unless the Commission wishes to hear oral argument or is inclined to sustain the Appeal and vacate the Initial Decision, there is no need to burden the Commission with oral argument; the matter has been fully and robustly presented to the Commission through the Initial Decision, the Appeal, and this reply.

PRELIMINARY STATEMENT

The Appeal seeks to overturn a comprehensive, 56-single-spaced-page written Initial Decision that (a) dismisses the request for class action treatment in all four complaints, (b) dismisses for lack of standing the three complaints filed by the end-payors, the truck centers, and the auto dealers [Dk. Nos. 16-07, 16-10 and 16-11, respectively], and (c) dismisses all four complaints as barred by the statute of limitations.² Init. Dec. at 54-55. The Appeal is based on three separate arguments: that the Initial Decision erred (1) in determining that the Commission lacked the authority to adjudicate these complaints on a class action basis; (2) in ruling that, as indirect purchasers, the end-payor, the truck center, and the auto dealer complainants lacked standing to assert reparations claims under the Shipping Act; and (3) in holding that complainants' claims are barred by the statute of limitations.

The Initial Decision thoughtfully and persuasively addressed each of these issues. The Commission should reject complainants' attack on the reasoning and conclusions of the Initial Decision, adopt the Initial Decision, in total, as its own, and reaffirm the Initial Decision's three key rulings: (a) the dismissal of the request for class action treatment in all four complaints; (b)

² The Initial Decision retains only the request for a cease-and-desist order in the freight forwarders'/ocean transportation intermediaries' complaint [Dk. No. 16-01]. Init. Dec. at 55.

the dismissal for lack of standing of the separate complaints filed by the end-payors, the truck centers, and the auto dealers; and (c) the dismissal of all four complaints as barred by the statute of limitations.

As a preliminary matter, we address the standard of review applicable to this Appeal, and then turn to each of complainants' assignments of error.

ARGUMENT

A. STANDARD OF REVIEW.

In the Appeal, complainants do not address the applicable standard of review. Respondents respectfully submit that the applicable standard of review is *de novo*.

The Initial Decision states that respondents' "motion to dismiss [is] GRANTED IN PART AND DENIED IN PART." Init. Dec. at 55. It is, therefore, a decision where "an administrative law judge has granted a motion for dismissal of the proceeding in whole or in part," 46 C.F.R. § 502.227(b), which "become[s] the order of the Commission thirty (30) days after the date of service of such order . . . unless within such 30-day period the Commission decides to review such order on its own motion," 46 C.F.R. § 502.227(c) ("Rule 227"). "Although Rule 227 permits appeal from an order of dismissal, it is silent as to the standard under which such orders are reviewed. *See* 46 C.F.R. § 502.227(b)." *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 746,753 (FMC 2014). *Kawasaki Kisen Kaisha* concludes that motions to dismiss subject to Commission appeal under Rule 227(b) "are reviewed *de novo*." *Ibid.* (citing *Bombardier Corp. v. AMTRAK*, 333 F.3d 250, 252 (D.C. Cir. 2004). *Accord, Baylor v. Mitchell Rubenstein & Assocs., P.C.*, 857 F.3d 939, 944 (D.C. Cir. 2017) ("This court reviews *de novo* the District Court's decision to grant a motion to

dismiss[.]”); *Albers v. Bd. of Cnty. Commr’s*, 771 F.3d 697, 700 (10th Cir. 2014); *Burtch v. Milberg Factors, Inc.*, 662 F.3d 212, 220 (3d Cir. 2011).³

B. COMPLAINANTS CANNOT MAINTAIN THESE ACTIONS ON A CLASS BASIS.

The Initial Decision correctly ruled that complainants cannot maintain their actions before the Commission on a class action basis for at least three independent reasons: (1) the Commission lacks statutory authority to hear class actions and bind absent class members; (2) class actions are not authorized by the Commission rules; and (3) it would not be sound administrative practice to entertain class actions or bind absent class members in these proceedings. The Initial Decision is correct on each of these three grounds; it should be adopted by the Commission.

1. The Initial Decision correctly held that the Commission lacks statutory authority either to (a) hear class or representative actions, or (b) bind absent class members.

Administrative agencies with adjudicatory authority do not hear class actions as federal courts do. Unlike administrative agencies, federal courts possess the inherent power to bind absent parties through class claims, which derives from their traditional powers as courts of equity. *See, e.g., Phillips Petroleum Co. v. Shutts*, 472 U.S. 797, 808 (1985) (“[T]he class action

³ Although the Commission’s review of legal determinations is *de novo*, the appropriate standard of review of a decision to take official notice is the abuse of discretion standard. *See U.S. v. Mitchell*, 365 F.3d 215, 251 (3d Cir. 2004) (“A court’s decision whether to take judicial notice of certain facts is reviewed for abuse of discretion.” (quoting *In re NAHC, Inc. Sec. Litig.*, 306 F.3d 1314, 1323 (3d Cir. 2002); internal quotation marks and editing marks omitted)); *Olson v. Bemis Co.*, 800 F.3d 296, 305 (7th Cir. 2015) (reviewing decision to take judicial notice of facts for abuse of discretion); *Ctr. for Biological Diversity, Inc. v. BP Am. Prod. Co.*, 704 F.3d 413, 422 (5th Cir. 2013) (same); *U.S. v. Williams*, 442 F.3d 1259, 1261 (10th Cir. 2006) (same); *U.S. v. Woods*, 335 F.3d 993, 1000–01 (9th Cir. 2003) (same). This issue also is before the Commission in a different case. *See* Docket 17-07, document 53 (filed May 30, 2018) at 13-14. If the Commission determines, before this appeal is resolved, that taking official notice is subject to the abuse of discretion standard, respondents respectfully request that the same standard apply here.

was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the litigation was too great to permit joinder. The absent parties would be bound by the decree[.]” (citing *Hansberry v. Lee*, 311 U.S. 32, 40-41 (1940)); *Smith v. Swormstedt*, 57 U.S. 288, 303 (1853) (explaining that “a court of equity permits a portion of the parties in interest to represent the entire body, and the decree binds all of them the same as if all were before the court”).

In contrast, administrative agencies are creatures of statutes, and have no such inherent powers. They may preside over a class action and bind members of the class who are not parties to the case⁴ only when they have authority from Congress to do so. See *La. Pub. Serv. Comm’n v. FCC*, 476 U.S. 355, 374 (1986) (“[A]n agency literally has no power to act ... unless and until Congress confers power upon it.”). Congress has not empowered the Commission with the general powers of a court of equity. *Trans-Pac. Freight Conference of Japan v. Fed. Mar. Bd.*, 302 F.2d 875, 880 (D.C. Cir. 1962) (“[T]he [Federal Maritime] Board is not a court, and cannot rely for its action on the powers of a court of equity.”);⁵ *Int’l Ass’n of NVOCC’s v. Atl. Container Line*, 25 S.R.R. 734, 743 (FMC 1990) (“The Commission is not a court, and cannot rely on the powers of a court of equity.”) (internal quotation marks and editing marks omitted).

Nor has Congress granted the Commission the power to bind absent class members. The Shipping Act specifically provides that the Commission has the power to “direct the payment of reparations to the complainant for actual injury caused by a violation.” 46 U.S.C. § 41305(b)

⁴ The ability to bind absent parties is critical: if the judgment in a class action does not bind absent class members, then defendants/respondents are subject to continuing liability for the same conduct. That irrational result eviscerates the efficiency and finality rationales that justify class actions in the first place.

⁵ The D.C. Circuit made clear that its decision applied to the Commission, which succeeded the Federal Maritime Board. *Id.* at 880.

(emphasis supplied). The plain language of the Shipping Act permits reparations actions only for named complainants; it does not speak of “class claims” or actions on behalf of others “similarly situated”; it never alludes to suits by “representatives”; and it does not contain any language from which it can be said that Congress intended to bestow on the Commission the power to hear class actions or to bind absent class members.

Consistent with this plain reading, the Commission consistently and repeatedly has recognized that Section 41305(b) prohibits the Commission from hearing representative claims. For example, in *Guam v. PFEL*, 7 S.R.R. 167, 168 (ALJ 1966), the complainant sought “to sue for reparation on behalf of others[.]” That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Ibid.* (“The award of reparations under Section 22 is limited to parties having legal claims for damages, *i.e.*, shippers, consignees, persons paying the freight charges or holders of valid assignments. Guam has such standing only as to its own shipments.”). Undeterred, twenty-three years later, in 1989, Guam again tried to sue on behalf of others as *parens patriae*. *Gov’t of Guam v. Sea-Land Serv., Inc.*, 25 S.R.R. 842, 842 (ALJ 1990). It met the same fate: Guam’s claim was dismissed because representative actions are not permitted by the Shipping Act. *Government of Guam* states it succinctly: “Insofar as the Complaint seeks reparation to Guam for shipments made by other shippers, it is hereby dismissed.” *Ibid.*

Similarly, in *Mar-Mol Co. v. Sea-Land Service, Inc.*, 27 S.R.R. 1085, 1090 (FMC 1997), the complainants sought relief for “all similarly situated shippers.” That aggregate claim was rejected because the Commission’s statutory authority extends no further than “direct[ing] the payment ... of full reparation to the complainant.” *Id.* at 1089 (emphasis in original). *Mar-Mol Co.* highlighted that “[t]he Act authorizes an award of reparations only to complainants, not to

non-parties.” *Ibid.* The overarching lesson these authorities impart is clear: the Commission consistently and uniformly has declined to construe the Shipping Act beyond its plain language.⁶ That obvious conclusion ends the inquiry. *See U.S. v. Ron Pair Enters., Inc.*, 489 U.S. 235, 241 (1989) (“[W]here . . . the statute’s language is plain, the sole function of the courts is to enforce it according to its terms.” (citation and internal quotation marks omitted)).

Congress well knows how to give agencies the power to hear class actions. *See Chicago v. Env’tl. Def. Fund*, 511 U.S. 328, 338 (1994) (“‘It is generally presumed that Congress acts intentionally and purposely’ when it ‘includes particular language in one section of a statute but omits it in another.’” (quoting *Keene Corp. v. United States*, 508 U.S. 200, 208 (1993))). For example, Congress specifically granted the Commodity Futures Trading Commission (“CFTC”) the power to hear cases brought on behalf of “other persons similarly situated[,]” but only if the agency first promulgated a rule to govern such actions. 7 U.S.C. § 18(a)(2)(A). Similarly, the Consumer Product Safety Commission (“CPSC”) has statutory authority to preside over hearings in which “a class of participants who share an identity of interest” participate “through a single representative.” 15 U.S.C. § 2064(t)(l). In stark contrast, the Shipping Act plainly states that complainants must be specifically named.

Complainants begrudgingly acknowledge the need for statutory authority for the Commission to conduct class action proceedings. App. at 6. Ignoring the clear mandate of Section 41305(b), they point to 46 U.S.C. § 305, which authorizes the Commission to “prescribe regulations to carry out its duties and powers.” *Id.* at 8.⁷ But the power to prescribe regulations

⁶ *Mar-Mol Co.* contains dicta regarding whether the Commission can hear a class action, which, as discussed below, is neither binding nor persuasive.

⁷ Not only is complainants’ argument on this point misplaced, it has been waived by their failure to raise it before the tribunal of first instance. *See W. Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 883 n.11 (FMC 1993) (“On appeal to the decision of the ALJ

is not the power to prescribe any regulation without limitation; complainants' argument completely avoids the central question of whether hearing claims from non-parties and binding absent class members are part of the Commission's "duties and powers." *See Day v. U.S.*, 611 F.2d 1122, 1124 (5th Cir. 1980) ("Regulations must be consistent with the statutory authority that alone gives them validity." (citing *Fed. Mar. Comm'n v. Seatrain Lines, Inc.*, 411 U.S. 726, 746 (1973))). Without the power from Congress to hear claims from non-parties and bind absent class members, the Commission plainly lacks the authority to prescribe regulations permitting class action proceedings.⁸

Complainants may not inject new issues into the proceeding, particularly those requiring findings of fact to resolve.""); *Green Master Int'l Freight Services Ltd – Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, FMC Docket No. 01-10, 2003 WL 1016920 at *21 n.7 (Feb. 28, 2003) (striking statements in exceptions to decision that contained new facts raised for the first time); *W. Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 1239, 1249 (FMC 1994) (denying petition for leave to answer in part because "the proffered answer improperly raises new matter not previously addressed by the parties."). *Accord, Fednav Int'l Ltd. v. Cont'l Ins. Co.*, 624 F.3d 834, 841 (7th Cir. 2010) ("It is well-settled that a party may not raise an issue for the first time on appeal. [A] party who fails to adequately present an issue to the district court has waived the issue for purposes of appeal. [A] party has waived the ability to make a specific argument for the first time on appeal when the party failed to present that specific argument to the district court, even though the issue may have been before the [tribunal of first instance] in more general terms." (internal citations omitted)); *Puffer v. Allstate Ins. Co.*, 675 F.3d 709, 718 (7th Cir. 2012) (explaining that "raising an issue in general terms is not sufficient to preserve specific arguments that were not previously presented").

⁸ Complainants rely on *Pottsville Broadcasting Co.* for the proposition that agencies can decide "'subordinate questions of procedure' such as 'whether [cases] should be heard contemporaneously or successively, whether parties should be allowed to intervene in one another's proceedings, and similar questions.'" App. at 6-7 (citing *FCC v. Pottsville Broad. Co.*, 309 U.S. 134, 143 (1940)). But, there was no suggestion in *Pottsville Broadcasting Co.* that agencies had the power to bind absent class members without the authority from Congress. Rather, it dealt with the order in which the Federal Communications Commission could review permit applications from multiple parties that had already been filed with the Commission. *See Pottsville Broad. Co.*, 309 U.S. at 139-40. *Pottsville Broadcasting Co.* gives no support for the proposition that the Commission can ignore the statutory language of the Shipping Act and create procedural rules to bind individuals who have not filed complaints with the Commission.

To the extent the specific provisions of 46 U.S.C. § 41305 that direct reparations “to the complainant” conflict with a general grant of authority under 46 U.S.C. § 305 to create procedural rules, Section 41305 controls. It is an elementary principle of statutory interpretation that “specific terms prevail over the general in the same or another statute which otherwise might be controlling.” *Fourco Glass Co. v. Transmirra Prods Corp.*, 353 U.S. 222, 228 (1957). The Shipping Act’s general grant of authority to create procedural rules must yield to the specific provision limiting the Shipping Act remedy of reparations to named complainants.

Undaunted, complainants argue that the Court of Appeals for Veterans Claims (“CAVC”) and the Equal Employment Opportunity Commission (“EEOC”) have the ability to hear class actions based on similar statutory authority as that granted to the Commission. These comparisons do not withstand scrutiny. As to the CAVC, the Veterans Judicial Review Act (“VJRA”) provides that “[t]he proceedings of the [CAVC] shall be conducted in accordance with such rules of practice and procedure as the Court prescribes.” 38 U.S.C. § 7264(a). The Federal Circuit held that this broad statutory mandate gives the CAVC the authority to “prescribe procedures for class actions or other methods of aggregation.” *Monk v. Shulkin*, 855 F.3d 1312, 1320 (Fed. Cir. 2017). But *Monk* cautions that this analysis also must consider whether any statutory restriction prevents the adjudicator from hearing class claims. *Id.* at 1320. The text of the VJRA, *Monk* explains, contains no limitation on the CAVC’s ability to hear class actions. *Ibid.* (“[W]e find no persuasive indication that Congress intended to remove class action protection for veterans when it enacted the VJRA.”). The Shipping Act, in contrast, limits the Commission’s power to directing reparations “to the complainant.” 46 U.S.C. § 41305(b). This limitation distinguishes the Commission from the CAVC and prevents the Commission from presiding over class actions.

The history of the CAVC further makes clear that Congress intended to authorize class action proceedings in the CAVC. As *Monk* noted, “[b]efore the VJRA, veterans seeking to enforce veterans benefit statutes were able to file class actions in some circumstances” and “[a] Congressional Budget Office cost estimate released shortly before the VJRA was enacted suggests that Congress intended that the Veterans Court would have the authority to maintain class actions.” *Id.* at 1319, 1329 n.4 (citing H.R. Rep. No. 100-963, pt. 1, at 41–42 (1988)). Given this history, “[t]here is no indication that Congress intended such review authority to not include class actions.”⁹ *Id.* at 1319. The Shipping Act’s history reveals the opposite. For decades before the current version of the Shipping Act was promulgated in 1984, Commission practice established that Shipping Act claims for reparations could not be maintained “on behalf of others.” *See Guam v. PFEL*, 7 S.R.R. at 168. There is no indication Congress intended to reverse or correct this longstanding interpretation when it passed the Shipping Act of 1984.

Likewise, there is a significant difference between the statutory authority Congress granted the EEOC versus the Commission. Under 42 U.S.C. § 2000e-16(b), Congress provided that the EEOC “shall have authority to enforce the [antidiscrimination] provisions [] through

⁹ *Monk* also held that the CAVC has the power to bind absent class members based on the All Writs Act, 28 U.S.C. § 1651(a). *Monk*, 855 F.3d at 1318–19. The All Writs Act does not apply to the Commission, as it is an “agency,” and not a court, within the meaning of Title 28. 28 U.S.C. § 451 (“The term ‘court of the United States’ includes the Supreme Court of the United States, courts of appeals, district courts constituted by chapter 5 of this title, including the Court of International Trade and any court created by Act of Congress the judges of which are entitled to hold office during good behavior[.] The term ‘agency’ includes any department, independent establishment, commission, administration, authority, board or bureau of the United States or any corporation in which the United States has a proprietary interest, unless the context shows that such term was intended to be used in a more limited sense.”). *Compare, e.g.*, CAVC’s organic statute, 38 U.S.C. § 7251 (“There is hereby established, under Article I of the Constitution of the United States, a court of record to be known as the United States Court of Veterans Appeals.”), *with* Commission’s organic statute, 46 U.S.C. § 301 (“The Federal Maritime Commission is an independent establishment of the United States Government.”).

appropriate remedies ... and shall issue such rules, regulations, orders and instructions as it deems necessary and appropriate to carry out its responsibilities under this section.”

Complainants misleadingly quote the latter half of this statute regarding the ability to craft procedural regulations, but conveniently omit the portion of the statute that gives broad authority to craft appropriate remedies to enforce the antidiscrimination provisions. *See* App. at 7. In the context of the antidiscrimination provisions the EEOC enforces, that broad statutory authority is critical. Congress meant for the EEOC to provide classwide relief because “Title VII claims are necessarily class action complaints.” *Equal Empl’t Opportunity Comm’n v. D. H. Holmes Co., Ltd.*, 556 F.2d 787, 794 n.11 (5th Cir. 1977) (quoting 118 Cong. Rec. 4081–82. 4081 (1972), *reprinted in* Legislative History of the Equal Employment Opportunity Act of 1972, at 1589 (1972)); *see also* *Oatis v. Crown Zellbach Corp.*, 398 F.2d 496, 499 (5th Cir. 1968) (“Racial discrimination is by definition class discrimination, and to require a multiplicity of separate, identical charges before the EEOC, filed against the same employer, as a prerequisite to relief through resort to the court would tend to frustrate our system of justice and order.”). This is fundamentally different than the Shipping Act, where Congress specified the scope of remedies and authorized reparations only “to the complainant for actual injury caused by a violation.” 46 U.S.C. § 41305(b).

2. The Commission’s rules do not authorize class actions.

The Initial Decision correctly recognized that “the Commission has not adopted any rules authorizing class action proceedings.” Init. Dec. at 25; Order, Docket No. 16-01 at 2 (FMC Feb. 3, 2016) (“The Commission does not have a Rule of Practice and Procedure authorizing class actions, which would bind non-parties.”). As they did unsuccessfully before the presiding officer, complainants again argue that Commission Rule 12 be used to import Federal Rule of

Civil Procedure 23, which governs class action proceedings in federal court. Complainants go too far: Commission Rule 12 provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Commission Rule 12 contemplates application of the Federal Rules of Civil Procedure only when a proceeding is properly before the Commission. Because, as explained below, the Commission lacks the authority to hear a class action, using Rule 12 to apply Federal Rule 23 unlawfully expands the Commission’s jurisdiction beyond existing statutory limitations.

Principally, Commission Rule 12 cannot be used to import a class action procedure because, as the Commission lacks the powers of a court of equity, it likewise lacks the inherent power to bind absent class members. The authority to bind absent class members must come from Congress and Congress alone; because Commission Rule 12 originates with the Commission, it cannot bestow the power to bind absent parties. *See City of Arlington, Tex. v. F.C.C.*, 569 U.S. 290, 297 (2013) (“[F]or agencies charged with administering congressional statutes[,] [b]oth their power to act and how they are to act is authoritatively prescribed by Congress, so that when they act improperly, no less than when they act beyond their jurisdiction, what they do is ultra vires.”). The Commission’s lack of general equitable powers ends this analysis.

In addition, Commission Rule 12 should be understood in the context of its adoption. In the final rulemaking adopting Rule 12, the Commission cited *Brazilian National Steel Co. v. Lloyd Brasileiro*, 21 S.R.R. 1505, 1507-08 (ALJ 1983) -- a case applying the voluntary dismissal rules of Fed. R. Civ. P. 41 where there was “no Commission rule of procedure identical to federal rule 41(a)” -- as support for the proposition that the Commission’s “policy of following

the [federal civil procedure rules] in situations not covered by a specific Commission rule and where there is no conflict with administrative law or another FMC rule [is] well established.” Fed. Mar. Comm’n, Miscellaneous Amendments to Rules of Practice and Procedure, 58 Fed. Reg. 27208 (1993). This makes clear that the Commission formally adopted Rule 12 to codify its longstanding practice of using the Federal Rules to fill gaps in, and to supplement, its procedural rules, not to dramatically expand the Commission’s substantive authority to encompass class action reparations proceedings.

That limitation is consistent with the Shipping Act, which does not mention class actions and, pointedly, does not grant the Commission the power to expand its adjudicative authority to certify classes and bind absent class members; the Shipping Act mentions the Federal Rules only in the context of discovery and subpoenas.¹⁰ The fact that Congress specifically enumerated this limited application of the Federal Rules in respect of Commission matters further demonstrates that Congress did not envision or ever intend that the Commission could expand its jurisdiction by importing Federal Rule 23 to oversee class actions.¹¹

Commission Rule 12 also cannot encompass Federal Rule 23’s class action processes because components of Federal Rule 23 conflict with other statutes and Commission rules. Part of the Commission’s longstanding policy when it adopted Rule 12 was to import only those Federal Rules of Civil Procedure “where there is no conflict with administrative law or another

¹⁰ See 46 U.S.C. § 41303(a)(2) (“[A] party may use depositions, written interrogatories, and discovery procedures under regulations prescribed by the Commission that, to the extent practicable, shall conform to the Federal Rules of Civil Procedure.”).

¹¹ Apart from Federal Rule 23 governing class actions, a host of other federal rules are equally inapplicable to the Commission context and exist outside the statutory authorization of Congress. See, e.g., Fed. R. Civ. P. 38, 47, 48, 49 and 51 (governing jury trials).

FMC rule.” Federal Maritime Commission, Miscellaneous Amendments to Rules of Practice and Procedure, 58 Fed. Reg. 27208 (1993) (emphasis supplied). Yet,

- Federal Rule 23(h) plainly conflicts with the Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e). Specifically, Fed. R. Civ. P. 23(h) provides for “reasonable attorney’s fees and nontaxable costs” in certified class actions, while both the statute applicable to this proceeding, as well as Commission Rule 254, permit the Commission to “award attorney fees,” but not costs, to the prevailing party. *Ibid.*; see also 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254(a).
- As the Initial Decision points out, under 46 U.S.C. § 41305(e), respondents would be eligible for attorneys’ fees if they prevailed, but it is unclear who would be responsible for paying those fees in a class action setting. See Init. Dec. at 26.
- In addition, Commission Rule 41 defines “parties” for purposes of Shipping Act claims, and designates only named complainants, named respondents, and intervenors as parties; it does not include “representative” parties. 46 C.F.R. § 502.41. It further provides that only “[a] party who files a complaint under § 502.62 shall be designated as ‘complainant.’” *Ibid.* The entire purpose of Federal Rule 23, in contrast, is to allow representative parties.
- As another example, Commission Rule 62 requires that complainants plead “the amount of alleged damages” and specify “[t]he name, street address, and email address of each complainant.” 46 C.F.R. § 502.62(a)(4)(i), 62(a)(3)(i). That notion is foreign to Federal Rule 23, which does not require that the putative class action plaintiff identify individual class members or specify the amount of alleged damages in the complaint or, for that matter, even at the time of class certification.

Complainants assert that “[t]he ALJ’s decision is particularly suspect” given that the Initial Decision “ignored” previous cases that showed the Commission had authority to hear class actions, pointing to *Mar-Mol, Co., Copy Corp. v. Sea-Land Service, Inc.*, 27 S.R.R. 1085 (FMC 1997) and *Government of Guam v. American President Lines*, 28 F.3d 142 (D.C. Cir. 1994). App. at 8-9. That is simply not true. In fact, the Initial Decision contains five pages discussing these cases in detail, correctly finding that they unquestionably contain only dicta addressing the possible use of class actions in Commission proceedings. See Init. Dec. at 18-23. On the other hand, several cases -- seemingly ignored by complainants -- have held to the

contrary: that the Commission may award reparations only to named parties. *See Guam v. PFEL*, 7 S.R.R. at 168; *Gov't of Guam*, 25 S.R.R. at 842; *Mar-Mol Co.*, 27 S.R.R. at 1090.

There is no reason to depart from those controlling holdings, particularly in light of subsequent events in at least one of those cases.

After Guam's 1989 claim as to unnamed parties was rejected, it sought relief in federal court, arguing that the statute provided an implied right of action for a federal suit. *Gov't of Guam v. Am. President Lines*, 809 F. Supp. 150, 151 (D.D.C. 1993). That claim was dismissed even though "the Commission lacks a class action procedure" and a district court right of action would have provided for more robust enforcement of the Shipping Act. *Id.* at 155. Affirming that dismissal, the United States Court of Appeals for the D.C. Circuit suggested in dicta -- even though the issue was not briefed -- that it was an open question whether the Commission could ever hear a class claim. *Gov't of Guam v. Am. President Lines*, 28 F.3d at 148. This dicta does nothing to shed any light on whether the Commission can hear class actions or whether it should overrule the Commission's own precedent.

This dicta resurfaced in *Mar-Mol Co.*, where the Commission held that it could not award general restitution to all Sea-Land shippers in Puerto Rico. 27 S.R.R. at 1090. The Commission offered an interpretation of *Government of Guam*, stating, also in dicta, that "Rule 23 of the Federal Rules of Civil Procedure provides the mechanism by which a class action can be undertaken" and "Commission rules do not preclude litigants using the Class Action Rule."¹² *Ibid.* This dicta-upon-dicta is not binding precedent and does not provide a principled basis for

¹² The real question is not whether the Commission's rules affirmatively preclude class actions, but rather whether they affirmatively authorize class actions. They do not, and for good reason: the Commission simply lacks Congressional statutory authority to hear class actions and bind absent class members.

the Commission to permit a class action here. Moreover, the dicta is not consistent: in *Puerto Rico Maritime Shipping Authority v. Federal Maritime Commission*, the United States Court of Appeals for the First Circuit also discussed *Gov't of Guam*, also in dicta, and concluded that the class claims were “claims which the Commission could not hear.” 75 F.3d 63, 67 (1st Cir. 1996) (emphasis supplied). The reality is that none of these cases analyzed the question in depth, admittedly because the issue was not squarely before the deciding forum. That said, the weight of authority dictates against sustaining these cases as class actions.

Even if the Shipping Act provided the discretion to hear class actions -- and it plainly does not -- the necessary regulations or procedures that are a predicate to doing so do not exist. There is no precedent, either in the Commission or, for that matter, any other federal agency, for using a procedural gap-filler rule to create new substantive authority to hear an entirely novel and unintended category of actions.

No federal administrative agency has heard a class action in an adjudicatory proceeding without first satisfying two prerequisites: having the substantive statutory authority to do so, and having implemented procedural regulations specific to class actions. Neither prerequisite has been satisfied here. For example, the CPSC adopted a rule titled “Class actions” that explains in detail the procedures to be followed for class actions before that agency. *See* 16 C.F.R. § 1025.18 (outlining, among other things, prerequisites to class claim, requirements for composition of class, and notice requirements). Likewise, the EEOC promulgated rules governing “Class complaints” that explain the narrow boundaries for class proceedings in employment discrimination proceedings before that agency (limited to federal government employees). *See* 29 C.F.R. § 1614.204. All of these class action rules are narrow in scope and

tailored to the specific agency; no agency has imported Federal Rule 23 wholesale, as complainants would have the Commission do.

At the same time, other federal agencies, including the Department of Housing and Urban Development and the Department of Labor, have “gap-filler” provisions similar to Commission Rule 12.¹³ Tellingly, research has not revealed any instances where these gap-filler provisions have been used as a source of authority to hear class actions under Federal Rule 23.

Moreover, the EEOC and the Government Accountability Office, Personnel Appeals Board (“PAB”) have regulations governing limited class action procedures along with “gap-filler” provisions similar to Commission Rule 12. The fact that these agencies have both class action regulations and “gap-filler” regulations underscores the obvious: a “gap-filler” is not a proper substitute for separate and properly authorized and adopted class action procedures tailored to individual agencies. This demonstrates that it is inconsistent with the practice of the rest of the federal government for the Commission to interpret Commission Rule 12 so broadly as to include the ability to hear class actions.

Express regulations serve important and salutary purposes: they provide transparency and legitimacy to agency action; they put Congress on notice of the agency’s plans, so that Congress can modify statutory authority if it deems it necessary to forbid agency class actions or to dictate the circumstances under which such actions may be brought; and they put interested parties and the public on notice, so that they can participate in the rulemaking process by offering commentary or suggested changes as appropriate. *See Chrysler Corp. v. Brown*, 441

¹³ See, e.g., 24 C.F.R. § 180.105(b) (Dep’t of Hous. and Urban Dev.) (“In the absence of a specific provision, the Federal Rules of Civil Procedure shall serve as a general guide.”); 29 C.F.R. § 18.10 (Dep’t of Labor, Office of Admin. Law Judges) (“The Federal Rules of Civil Procedure (FRCP) apply in any situation not provided for or controlled by these rules, or a governing statute, regulation, or executive order.”).

U.S. 281, 316 (1979) (“In enacting the APA, Congress made a judgment that notions of fairness and informed decisionmaking require that agency decisions be made only after affording interested persons notice and an opportunity to comment.”). Express rules also permit regulated parties to understand the scope of the agency’s power and set expectations accordingly. For the Commission to entertain a class action in the absence of adopting specific rules permitting them not only leaves parties without guidance as to procedure, but it also conflicts with the approach taken by every other federal administrative agency that allows class actions, and the settled expectations of the industry the Commission is charged with regulating.

3. It is not sound administrative practice to entertain class actions or bind absent class members in these proceedings.

The Commission may “borrow” from the Federal Rules, but only if doing so is consistent with “sound administrative practice.” 46 C.F.R. § 502.12. For at least six separate principal reasons, it simply is not sound administrative practice to “borrow” Federal Rule 23 “lock, stock, and barrel” in order to allow these cases to proceed as class actions.

First, as earlier discussed, the Commission does not have statutory authority to hear representative actions, and Federal Rule 23 conflicts with other Commission rules. For these reasons, importing Federal Rule 23 into Commission proceedings is not sound administrative practice.

Second, the Commission has no experience or expertise regarding class certification or managing class actions.¹⁴

¹⁴ The complexity of class issues is readily apparent from complainants’ own description of their purported class members. *See* App. at 24-25 (indiscriminately grouping together potentially “hundreds of thousands of American consumers and businesses,” including freight forwarders, auto dealers, truck and equipment dealers, end-payors, and even purchasers of “custom cars”).

Third, allowing class actions will quickly overwhelm the Commission's resources. Class actions are fact-intensive, complex, and time-consuming. "The FMC is a small agency tasked with a large mandate, which provides for challenges in balancing workloads and required functions."¹⁵ Class action proceedings are lengthy and labor intensive¹⁶ and will be so burdensome as to impair the Commission's ability to meet its other important obligations.

Complainants, of course, claim to the contrary, asserting wistfully that class action proceedings will promote efficiencies at the Commission; they point approvingly to the CAVC, the EEOC, the Office of Medicare Hearings and Appeals ("OMHA"), and the Department of Education ("DOE") as purported "examples." But, none of these entities oversees class actions between private litigants, as complainants request of the Commission. Complainants also fail to acknowledge that the CAVC still is considering whether and how to use class or aggregate procedures -- a proposal actively opposed by the Secretary of Veterans Affairs -- because, among other things, it would bind absent class members without their own representation and because any efficiency gains would be limited by additional litigation and collateral attacks. *See*

¹⁵ Chairman Mario Cordero, *Fed. Mar. Comm'n, Fiscal Year 2017 Budget Request*, at 1, <https://www.fmc.gov/assets/1/Page/CongBud2017.pdf>. *See also* Acting Chairman Michael A. Khouri Before Senate Committee on Commerce, Science, and Transportation at 12 (Apr. 24, 2018) (noting strain on FMC "if there is a surge of agreement filings [or] if a class of plaintiffs choose to seek relief at the FMC," which would require that FMC engage in triage, and "work to prioritize our mission-critical activity and reallocate resources to the extent possible").

¹⁶ For example, the Visa/Mastercard antitrust litigation, *In re Payment Card Interchange Fee and Merch. Disc. Antitrust Litig.*, No. 05-md-1720 (E.D.N.Y.), has spanned 13 years since complaints were filed, is managed by a federal district court judge and magistrate judge, has over 7,000 docket entries, and the parties are currently in the discovery phase. *See also In Re TFT-LCD (Flat Panel) Antitrust Litig.*, 3:07-md-01827 (N.D. Cal.) (stretching 12 years since complaints were filed in 2006 with opt-out litigation ongoing); *Precision Assocs., Inc. v. Panalpina World Transport (Holding) LTD. (Freight Forwarders Antitrust Litig.)*, 1:08-cv-00042 (E.D.N.Y) (stretching eight years since complaints were filed in 2008 to approval of a final round of settlements in 2016, with some administration of settlements ongoing).

Secretary's Response to the October 26, 2017 Order of the Court (Jan. 24, 2018), *Monk v. Shulkin*, Vet. App. No. 15-1280 (Ct. App. Vet. Cl.), at 5-10 ("Although the Federal Circuit found this Court has the authority to create a class action rule, authority to act and the wisdom of such action are not the same thing."). As earlier noted, the EEOC class proceedings in agency adjudication are available only in a limited subset of cases: claims of discrimination by federal employees -- not private complainants -- against government agencies, and not private respondents. The OMHA likewise does not consolidate claims of multiple parties; rather, it offers alternative dispute resolution or statistical sampling for multiple claims of a single party.¹⁷ And, the DOE, after issuing a final rule on a "group process" for student debt relief, suspended that rule before it ever went into effect, and is now in the process of rescinding it.¹⁸ See Notice of Proposed Rulemaking, Student Assistance General Provisions, Federal Perkins Loan Program, Federal Family Education Loan Program, and William D. Ford Federal Direct Loan Program, 83 Fed. Reg. 37,242, 37,244 (July 31, 2018) (stating that DOE determined that group process was not "appropriate" and that it "could place an extraordinary burden on both the Department and

¹⁷ See *Statistical Sampling Initiative Update*, <https://www.hhs.gov/about/agencies/omha/about/special-initiatives/settlement-conference-facilitation/index.html>; *Settlement Conference Facilitation*, <https://www.hhs.gov/about/agencies/omha/about/special-initiatives/settlement-conference-facilitation/index.html>.

¹⁸ Final rule; notification of partial delay of effective dates, 82 Fed. Reg. 27,621 (June 16, 2017). Even if the rule was in effect, the DOE made clear that the "group process" was not a class action proceeding. See Student Assistance General Provisions, Federal Perkins Loan Program, Federal Family Education Loan Program, William D. Ford Federal Direct Loan Program, and Teacher Education Assistance for College and Higher Education Grant Program, 81 Fed. Reg. 75,926 (Nov. 1, 2016) ("In response to comments that the Department is not authorized to act as a class action attorney, we note that, in bringing cases before a hearing official ... the Department would not be bringing claims as the representative of the borrowers. ... [T]he Department official would be bringing claims on its own behalf as the administrator of the Direct Loan Program, or alternatively as a beneficiary of the fiduciary relationship between the school and the Department.").

the taxpayer”). These examples provide scant support for the ill-conceived notion that it would be efficient for the Commission to hear these cases as class actions. If anything, they highlight the unprecedented -- and unreasonable -- nature of complainants’ request.

Standing alone, the differences in resources and the number of cases between the Commission and complainants’ examples demonstrate that they are of little relevance in determining efficiencies at the Commission. The Commission currently has two administrative law judges and two commissioners. In 2017, it received twelve private party and small claims complaints and concluded ten formal investigations and private complaints.¹⁹ In that same time period, the CAVC had 17 active and senior judges,²⁰ received 7,245 appeals and petitions, and issued 7,472 dispositions.²¹ The Board of Veterans Appeals (“BVA”), the administrative tribunal that sits below the CAVC, had 91 veterans law judges, assisted by approximately 671 attorneys, received 90,327 cases, and issued 52,661 decisions.²² As of 2016, the EEOC had 549 investigators tasked with an initial review of complaints and 73 administrative law judges who were responsible for approximately 20,000 cases.²³ In 2017, OMHA had over 94 administrative

¹⁹ Fed. Mar. Comm’n, 56th Annual Report for Fiscal Year 2017, at 47-51, *available at* <https://www.fmc.gov/assets/1/Page/AnnualReportFY17.pdf>.

²⁰ Judges, U.S. Court of Appeals for Veterans Claims, *available at* <https://www.uscourts.cavc.gov/judges.php>.

²¹ U.S. Court of Appeals for Veterans Claims, Annual Report Fiscal Year 2017, at 1, 4, *available at* <https://www.uscourts.cavc.gov/documents/FY2017AnnualReport.pdf>.

²² See Dep’t of Veterans Affairs, Bd. of Veterans’ Appeals, Annual Report Fiscal Year 2017, at 4-5, 8, 13, 22, *available at* https://www.bva.va.gov/docs/Chairmans_Annual_Rpts/BVA2017AR.pdf.

²³ Juliet Linderman, At the EEOC, Harassment Cases Can Languish for Years, USNews, *available at* <https://www.usnews.com/news/politics/articles/2018-04-09/at-the-eeoc-harassment-cases-can-languish-for-years>.

law judges²⁴ who were responsible for 6,668 appeals.²⁵ Finally, as of April 2017, there were 147,000 debt claims filed and 99,000 claims pending before the DOE,²⁶ which hired a full time contractor to assist with their review.²⁷ The number of cases and resources available for these other entities dwarf those of the Commission. It is not one-size-fits-all: what may be efficient practices for some agencies does not make them efficient for the Commission.

Using scare tactics, complainants argue that denying class actions will result in adjudicating tens of thousands of identical claims separately, and that “that fact alone” makes class actions in the Commission sound administrative practice. App. at 10. As complainants well know, that is not the case: as noted earlier, Commission precedent long has held that only direct purchasers can bring claims for reparations. If any direct purchasers have claims that qualify for aggregation, that can easily be accomplished with the Commission’s existing consolidation and joinder procedures, as the Commission has done successfully for decades. *See, e.g., Carolina Marine Handling, Inc. v. S.C. State Ports Auth.*, 28 S.R.R. 1305, 1306 (ALJ 2000) (underscoring that Commission has had consolidation rule since at least 1994); *Gov’t of Guam*, 25 S.R.R. at 842 (allowing aggrieved persons to join existing complaint for reparations).

²⁴ Office of Medicare Hearings and Appeals Fiscal Year Budget Justification, at 22, available at <https://www.hhs.gov/sites/default/files/combined-office-of-medicare-hearings-and-appeals.pdf>.

²⁵ Beneficiary Appeals Data, HHS.gov, available at <https://www.hhs.gov/about/agencies/omha/about/current-workload/beneficiary-appeals-data/index.html>.

²⁶ DeVos Halts Partial Debt Relief Policy After Judge Slams Procedures, available at <https://www.nytimes.com/2018/06/06/us/politics/betsy-devos-student-debt-relief.html>.

²⁷ Michael Stratford, Education Department hints of action on debt relief claims, Politico (Oct. 2, 2017), available at <https://www.politico.com/tipsheets/morning-education/2017/10/02/education-department-hints-of-action-on-debt-relief-claims-222581>.

Indeed, consolidation and coordination amongst direct purchaser actions already has occurred in this case. Init. Dec. at 5.²⁸

Fourth, the Administrative Procedure Act (“APA”) and sound administrative practice require that a rule on class actions be promulgated through notice and comment proceedings, and not through ad hoc adjudication like this case. Because a class action rule would “depart[] radically” from previous interpretations of the Shipping Act and apply broadly to future cases, adopting such a rule on the fly would amount to an abuse of discretion and a violation of the APA. *Pfaff v. U.S. Dep’t of Hous. and Urban Dev.*, 88 F.3d 739, 748 (9th Cir. 1996) (holding that agency abused its discretion in adopting new interpretation in adjudication). *Accord*, *First Bancorporation v. Bd. of Governors of Fed. Reserve Sys.*, 728 F.2d 434, 438 (10th Cir. 1984) (holding that “Board abused its discretion by improperly attempting to propose legislative policy by an adjudicative order”); *Ford Motor Co. v. FTC*, 673 F.2d 1008, 1009 (9th Cir. 1981) (noting that “the F.T.C. has exceeded its authority by proceeding to create new law by adjudication rather than by rulemaking.”). *See also Cmty. Television of S. Cal. v. Gottfried*, 459 U.S. 498, 511 (1983) (stating that “rulemaking is generally a better, fairer, and more effective method of implementing a new industry-wide policy” than ad hoc adjudications (internal quotation marks omitted)).

²⁸ Complainants’ purported concern about the inability of those with small claims to obtain relief likewise is misplaced. The FMC’s Office of Consumer Affairs and Dispute Resolution Services offers a no-cost way to resolve small disputes. As the CADRS description on the FMC website states: “With no fees for services, CADRS offers: ombuds assistance, mediation, facilitation, and arbitration to resolve challenges and disputes[,]” *available at* https://www.fmc.gov/bureaus_offices/consumer_affairs_and_dispute_resolution_services.aspx. In addition to free CADRS services, the FMC offers low-cost small-claim procedures. *See* 46 C.F.R. Part 502, Subparts S and T.

In addition, the APA and sound administrative practice require the strict observance of the notice and comment procedures before issuing a class action rule. *See* 5 U.S.C. § 553 (requiring that federal agency provide opportunity for notice and comment on substantive rules). A Commission decision to adopt class action procedures perforce would be substantive because it would broaden the reparations scheme of the Shipping Act. The Shipping Act, by its explicit terms, provides that reparations are available only to complainants, not to non-parties. A new rule allowing the award of reparations for those who are not themselves present before the Commission fundamentally alters the substance of this remedial scheme. *See, e.g., Gov't of Guam*, 809 F. Supp. at 155 (noting that “rejection of Guam’s [*parens patriae*] theory appear[ed] to have been based on substantive, not procedural, rulings by the Commission”). Notice and comment proceedings allow interested parties to provide feedback and suggest changes, which has been useful for other agencies when considering class action procedures.²⁹ *See Smiley v. Citibank (S.D.), N.A.*, 517 U.S. 735, 741 (1996) (“[T]he notice-and-comment procedures of the Administrative Procedure Act [are] designed to assure due deliberation.”). To make this change without providing notice and accepting public comment violates the APA and is not consonant with sound administrative practice.

Fifth, even if the notice and comment process is somehow discarded, sound administrative practice, at a minimum, requires adopting implementing rules specifically

²⁹ By way of example, after notice and comment, the EEOC promulgated its limited class action rule in 1992, and revised it in 1999 and 2012 to take advantage of the experience and insights of commentators and a dedicated working group. *See* Fed. Sector Equal Emp’t Opportunity, 64 Fed. Reg. 37644, 37651 (July 12, 1999) (“The Federal Sector Workgroup identified a series of concerns with the class complaint process.”); Fed. Sector Equal Emp’t Opportunity, 77 Fed. Reg. 43498, 43503 (July 25, 2012) (“The Workgroup carefully considered the class complaint process and made a number of recommendations to improve its effectiveness.”).

providing for class actions. That is the narrow but proper path other agencies have followed -- to allow class actions pursuant to clearly enacted rules -- which is sensible given the complexity of class actions and the issues that can arise when similar claims are heard together. Clear rules also serve the purpose of putting Congress, regulated parties, and the public on notice of the change in agency procedure and provide transparency to agency processes.

Finally, sound administrative practice means that, in the absence of any statutory indication to the contrary, the agency will conduct its business consistent with the established practices of the rest of the federal government and the settled expectations of the industry. It is not open for dispute: no other agency hears class actions through a gap-filler rule.

If the Commission seeks the authority to oversee class actions, its path is clearly demarcated: it should obtain Congressional authorization and then follow the time-honored process required by the APA of (a) drafting proposed rules outlining how it would do so, (b) providing notice of those draft rules, (c) allowing public comment, (d) evaluating the proposed rules in light of governing law and the comments received, and (e) publishing final rules. A contested complaint for reparations is no substitute for the orderly adoption of far-reaching rules, and the allowance of previously barred class actions is, to say the least, of far-reaching consequences.

C. INDIRECT PURCHASER COMPLAINANTS LACK STANDING TO SEEK REPARATIONS.

For more than 80 years, the Commission consistently has ruled that only “direct purchasers” have standing to seek reparations for alleged overages. The indirect purchaser complainants -- the end-payors, truck centers and auto dealers in Docket Nos. 16-07, 16-10 and

16-11, respectively (collectively, “IPCs”) -- admit that they are not direct purchasers.³⁰

Notwithstanding this fatal admission, they continue to assert that they are entitled to seek reparations, arguing that (1) despite respondents stating in federal court that “we may challenge standing” before the Commission, respondents somehow waived that right; (2) contrary to the Commission’s longstanding direct purchaser rule, “any person” has standing to seek reparations; (3) the Commission should disregard the direct purchaser rule based on unspecified “modern realities” of the shipping industry; and (4) the IPCs “may qualify as shippers” under the Shipping Act. The IPCs are wrong on all points; the dismissal of the IPCs’ complaints should be adopted because the IPCs have not -- and cannot -- establish standing to seek reparations under the Shipping Act.

1. The “direct purchaser” rule bars the IPCs’ reparations claims.

(a) Only “direct purchasers” have standing to seek reparations under the Shipping Act.

The IPCs’ attempt to uproot the century-old “direct purchaser” standing rule must be rejected. The Commission consistently and without exception has held that only first-line direct purchasers of carrier services suffer the “actual injury” that confers standing to seek reparations. *See, e.g., Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902 (ALJ, Admin. Final 2002) (holding that Shipping Act “has been deemed to require rejection of reparations claims by persons who . . . claim reparations by arguing that the direct payor passed the carrier’s charges on to them” (citation omitted)).

³⁰ The freight forwarders in Docket No. 16-01 assert that they are direct purchasers and were designated in the Initial Decision as ocean transport intermediaries. Init. Dec. at 3, 3 n.1. Respondents disagree, and have maintained that, like their fellow travelers, the freight forwarders also are indirect purchasers. For present purposes that issue need not be addressed; only the IPCs have appealed the portion of the Initial Decision that holds they lack standing.

The Commission's adoption of the "direct purchaser" standing rule has roots that are now a century old. *Southern Pacific Co. v. Darnell-Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918), involving reparations ordered by the Interstate Commerce Commission,³¹ explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. The U.S. Shipping Board -- the Commission's predecessor -- adopted the "direct purchaser" rule in 1934. *See Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B. 308 (1934). Since then, the Commission has applied the "direct purchaser" standing rule to complaints seeking reparations for alleged overages. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), held that "the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." *Id.* at 907 (emphasis supplied). More recently, *Government of Guam*, 29 S.R.R. at 902, held that only shippers who paid the ocean freight directly to carriers, and not the consignees of prepaid shipments, were eligible for reparations, even though the cost of the ocean freight allegedly had been borne by the consignees. Dismissing the consignees' claims, *Government of Guam* reinforced the Commission's extensive and consistent application of the "direct purchaser" rule. *Ibid.* (citing *Cal. Cartage Co. v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. S. African Marine*, 19 FMC 375, 378 n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); and *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

³¹ Congress intended that the Interstate Commerce Act and the Shipping Act have "like interpretation, application, and effect," and thus "settled construction" of the earlier act "must be applied" to the later one. *U.S. Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 480-81 (1932); *N. Atl. Mediterranean Freight Conference*, 11 F.M.C. 202, 209 [9 S.R.R. 775] (1967).

Akin to the Shipping Act and predecessors, courts acting under the federal antitrust laws apply the “direct purchaser” standing rule. Section 4 of the Clayton Act, like Section 41301 of the Shipping Act, 46 U.S.C. § 41301, permits “any person” injured by conduct forbidden by the antitrust laws to file suit. 15 U.S.C. § 15(a) (emphasis supplied). Despite this broad language, only direct purchasers have standing to recover damages authorized by the Clayton Act, and an indirect purchaser cannot recover damages under the Clayton Act based on a “pass-on” theory. *See generally Ill. Brick Co. v. Ill.*, 431 U.S. 720 (1977), and its progeny.

The same primary concerns undergird the “direct purchaser” standing rule in respect of both the Shipping Act and Clayton Act. The first is the complexity and uncertainty of apportioning damages between the direct and indirect purchasers. *See Gov’t of Guam*, 29 S.R.R. at 901-02; *Ill. Brick*, 431 U.S. at 731-32; *accord, S. Pac. Co.*, 245 U.S. at 534. As *Illinois Brick* explained, where there are multiple layers of purchasers, “[t]he demonstration of how much of the overcharge was passed on by the first purchaser must be repeated at each point at which the price-fixed goods changed hands before they reached the plaintiff.” 431 U.S. at 732-33. Allowing standing for indirect purchasers would require “massive efforts to apportion the recovery among all potential plaintiffs that could have absorbed part of the overcharge from direct purchasers to middlemen to ultimate consumers” and, “[h]owever appealing this attempt to allocate the overcharge might seem in theory, it would add whole new dimensions of complexity to treble-damages suits and seriously undermine their effectiveness.” *Id.* at 737; *see also Gov’t of Guam*, 29 S.R.R. at 901-02 (explaining that if it was necessary “to follow every transaction to its ultimate result and to trace out the exact commercial effect of the rate paid, it would never be possible to show damages with sufficient accuracy to justify giving them” (citation omitted)).

The second concern is the serious risk of multiple liability for defendants:

[e]ven though an indirect purchaser had already recovered for all or part of an overcharge passed on to it, the direct purchaser would still recover automatically the full amount of the overcharge that the indirect purchaser had shown to be passed on; similarly, following an automatic recovery of the full overcharge by the direct purchaser, the indirect purchaser could sue to recover the same amount.

[*Ill. Brick*, 431 U.S. at 730.]

In short, the IPCs ask that the Commission discard a century's worth of precedent and allow them to seek reparations for the same alleged Shipping Act violations notwithstanding the fact that such recoveries very well could lead to multiple layers of recovery for the same alleged harm. Nothing justifies that windfall for complainants or punitive sanctions against respondents.

- (b) The end-payor, auto dealer and truck center complainants admit they are "indirect purchasers" and, thus, lack standing.

Each group of IPCs -- the end-payors, the truck centers and the auto dealers -- expressly admitted in their complaints that they are indirect purchasers:

- End-Payors. "Complainants and members of the Class are consumers who had no direct contact or interaction with the Respondents[,]" and (ii) "Complainants and members of the Class had no means of obtaining any facts or information concerning any aspect of Respondents' dealings with OEMs or other direct purchasers." Compl. Dk. No. 16-07 at ¶¶ 197, 198 (emphasis supplied).
- Truck Centers. "Complainants indirectly paid Respondents for Vehicle Carrier Services[,]" and (ii) "[t]he OEMs or their agents directly purchase Vehicle Carrier Services from Respondents. Complainants and the Truck and Equipment Dealer Classes are then billed in full and pay in full for the Vehicle Carrier Services when they purchase Vehicles from the OEMs with which they do business." Compl. Dk. No. 16-10 at ¶¶ 27, 55 (emphasis added).
- Auto Dealers. "Complainants indirectly paid Respondents for Vehicle Carrier Services[,]" and (ii) respondents' "direct transactional contacts are original equipment manufacturers ("OEMs") - mostly large automotive, construction and agricultural manufacturers." Compl. Dk. No. 16-11 at ¶¶ 19, 47 (emphasis supplied).

Likewise, when each of these same IPC groups earlier filed complaints in federal court, none asserted claims for damages as direct purchasers under the federal antitrust laws; each asserted

claims for damages exclusively under certain state laws,³² some of which permit indirect purchasers to assert claims for damages. *See* App. at 23.³³ Despite firmly established law and undisputed facts, the IPCs nevertheless assert a variety of theories as to why the direct purchaser rule should not apply to them here. Not one of those theories has merit.

2. The attempts by the “indirect purchaser” complainants to avoid the “direct purchaser” rule lack merit.
 - (a) Respondents did not and could not have waived a challenge to standing, nor are they judicially estopped from doing so.

The IPCs admit that standing is a jurisdictional question, and thus cannot be waived; they expressly recognize that “standing falls directly within the question of a tribunal’s authority to adjudicate a dispute.” App. at 15 (citing *Alliance for Env’tl. Renewal, Inc. v. Pyramid Crossgates Co.*, 436 F.3d 82, 88 n.6 (2d Cir. 2006)).³⁴ Like a federal court, the Commission lacks jurisdiction over claims brought by an improper party. *See, e.g., Sea-Land Dominica, S.A. v. Sea-Land Serv., Inc.*, 26 S.R.R. 578, 581 (FMC 1993) (holding that Commission lacked jurisdiction over complaint asserting violations brought against carrier by agent who was not party to shipping contract); *Ovchinnikov v. Hitrinov*, FMC Docket 15-11 (ALJ Initial Decision Granting Respondents’ Motion for Judgment on the Pleadings, March 9, 2017, Pending on Exceptions) (same). As in federal court, a party cannot waive jurisdiction before the

³² *In re Vehicle Carrier Servs. Antitrust Litig.*, No. 13-3306 ES, 2015 WL 5095134, at *1 (D.N.J. Aug. 28, 2015).

³³ Contrary to the IPCs’ waiver argument, App. at 19-20, the parallel between this case and *Government of Guam*, 29 S.R.R. 894 (ALJ, Admin. Final 2002), is complainants’ inconsistent positions in federal court and before the FMC, and not any act of respondents.

³⁴ *Pyramid Crossgates* addresses the proper sequence for federal courts to decide Article III standing -- as compared to statutory standing -- issues. 436 F.3d at 86-87. It offers no support whatsoever for the discredited proposition that a concession as to the existence of subject matter jurisdiction somehow waives standing.

Commission. *Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993) (“The Commission derives its powers solely from the statute enacted by Congress, and parties cannot expand or contract the Commission’s jurisdiction or authority by agreement, estoppel, waiver, or the like.” (citing cases)). For this reason alone, the IPCs’ waiver argument lacks merit.

Even if standing could be waived -- which, of course, it cannot -- the IPCs’ attempt to cobble together a waiver argument from various scraps in the federal court record cannot overcome respondents’ express reservation on standing -- a reservation the IPCs inexplicably continue to ignore despite prior correction by respondents and in the Initial Decision itself. Misrepresenting the record, the IPCs again cite a truncated statement by respondents before the U.S. Court of Appeals for the Third Circuit by omitting the plain statement that “[w]e may challenge standing. . . . So we have other defenses.” Init. Dec. at 31.

The IPCs cite other portions of the federal court record regarding the Shipping Act, its preemption of the antitrust laws, and the scope of the Commission’s subject matter jurisdiction generally.³⁵ The Initial Decision correctly found that the IPCs cite no statements as to whether “these particular Complainants would be entitled to reparations.” *Id.* at 31. In this context -- along with respondents’ express reservation on standing -- the Initial Decision correctly concluded that the IPCs have not shown a “voluntary, intentional relinquishment of a known right or privilege” that would effect a waiver. *Id.* at 30-31 (citing *Port Auth. of N.Y. & N.J. v. N.Y. Shipping Ass’n*, 22 S.R.R. 1329, 1346 (1985)). Simply said, respondents are not estopped

³⁵ The IPCs’ reliance on the language of paragraph 9(b) of the NYK plea agreement is unavailing. *See* App. at 22. That language did not operate as a waiver in the federal court litigation, and it does not here; it merely recognizes that civil litigation was pending at the time the agreement was reached, and that the civil litigation could potentially provide for a recovery of damages. As noted, a private agreement cannot confer jurisdiction on an administrative agency.

as they have not taken a position “clearly inconsistent with” their “earlier position.” Init. Dec. at 30 (quoting *N.H. v. Me.*, 532 U.S. 742, 749-51 (2001)).

(b) The Shipping Act does not permit “any person”
to seek reparations.

The IPCs argue that, because “any person” may file a complaint alleging a violation of the Shipping Act, indirect purchasers *ipso facto* have standing to seek reparations. App. at 20-21. That is silly. 46 U.S.C. §41301(a) provides that “any person” may file a complaint alleging a violation of the Shipping Act, but 46 U.S.C. § 41305(b) limits reparations only to those that suffer “actual injury” and longstanding Commission precedent holds that only direct purchasers suffer “actual injury.” *Sanrio*, 19 S.R.R. at 307 (“While any person may file a complaint[,] the law in complaint cases involving alleged overcharges [] is that the person who paid the freight to the carrier has standing to recover reparations for injury, not a secondary party”).³⁶

The IPCs’ reliance on *Adenariwo v. BDP International*, 33 S.R.R. 503 (Settlement Officer 2013), is misplaced. In *Adenariwo*, the settlement officer explained that, under 46 U.S.C. §41301(a), “any person” may file a complaint with the Commission, and that a complainant seeking reparations “must directly suffer an injury or meet a limited exception, such as obtaining an assignment of a claim from a third party.” *Id.* at 505. On the facts presented, the settlement officer concluded that the complainant had standing to pursue reparations only because he had obtained a written assignment of claims from the injured party. *Ibid.*

³⁶ The IPCs’ disagreement with that precedent does not entitle them to claim that the Initial Decision’s analysis centered on the “belief or misunderstanding” that the IPCs “are somehow not pursuing their own claims for their own injuries.” App. at 18. *See also* Init. Dec. at 27 (explaining rationale for indirect purchaser lack of standing and declining to depart from “Commission practice” applying “direct purchaser” standing rule).

- (c) The IPCs fail to show that “modern realities”
justify an exception to the “direct purchaser” rule.

Ignoring the fact that the Shipping Act was enacted in 1984 and significantly updated in 1998, the IPCs argue that the “direct purchaser” rule should not apply to them given “modern realities” of the shipping industry. App. at 21-24. The IPCs fail to identify just what those “modern realities” are or how they justify an exception to the direct purchaser rule. The IPCs’ argument fails in three principal respects.

First, the IPCs argue that continuing application of the direct purchaser rule would “cut to the core of the Commission’s ability to police the industry it regulates.” *Id.* at 22. Implicit in that argument is the assumption that, to date, the Commission somehow has failed in its mission. That is simply untrue: the Commission can and does police the industry diligently, through its ability to assess substantial civil penalties, as it did with many of respondents. Further, the Commission is not just empowered, but mandated, to award full reparations, and in some cases double reparations -- as well as interest and if appropriate attorney’s fees -- to parties that actually have been injured by Shipping Act violations and satisfy simple requirements: have standing and timely file their complaints.

Second, the IPCs argue that none of the “concerns identified in *Illinois Brick* would materially impair the Commissions ability to adjudicate the present matter.” *Id.* at 23. That argument is not based on any record support whatsoever; it is based on the naked assertion that the “claims of the various groups do not overlap,” and that “[s]hipping records demonstrate that, as to the majority of these transactions and shipments, an immediate and full pass-on of total shipping costs were made to the individual vehicle dealers or consumer car buyers.” *Ibid.*

Contrary to the IPCs’ arguments, the concerns that animated the recovery limitations expressed in *Illinois Brick* apply in full force here. Overturning the “direct purchaser” rule

would create an enormous administrative burden for the Commission.³⁷ Determining not only what portion of a vehicle's price is attributable to a Shipping Act violation but then further apportioning that amount among different levels of direct and indirect purchasers poses an insurmountable challenge. And, deviating from the Commission's longstanding precedent limiting the availability of reparations under the Shipping Act to direct purchasers creates an unwarranted risk of multiple liability that Congress never intended. Apart from the quagmire of apportioning damages among different levels of direct and indirect purchasers, every shipment by an ocean carrier has both a shipper and a consignee. If the IPC's theory is recognized, both would be entitled to recover from the carrier for the same alleged overcharge. That is nonsense. As John Adams made clear at the founding of the Republic: "Facts are stubborn things; and whatever may be our wishes, our inclinations, or the dictates of our passions, they cannot alter the state of facts and evidence." The facts are stubbornly against the IPCs.

The IPCs' cavalier assertion that respondents "will be able to present evidence of any potential duplicative recovery," *id.* at 23 -- in what they purport to bring as a class action on behalf of allegedly "hundreds of thousands of American consumers and businesses, *id.* at 24 -- merely illustrates further the folly and additional mischief an exception to the direct purchaser

³⁷ The Commission's rules governing reparations contain specific requirements for proof of damages to "direct purchaser" complainants, but do not contemplate the apportionment of damages among "direct purchasers" and different levels of "indirect purchasers", that is, those who did not pay the allegedly inflated ocean freight. Commission Rule 251 provides that, when a matter is remanded for a determination of damages, the parties "will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due" which includes "freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each[.]" 46 C.F.R. § 502.251. Likewise, Commission Rule 252 provides that, where a complainant is required to fill out a reparations statement, it "shall forward the statement, together with the paid freight bills on the shipments, or true copies thereof, to the respondent or other person who collected the charges for checking and certification as to accuracy." 46 C.F.R. § 502.252.

rule would create: undermining the effectiveness of the available remedies for direct purchasers under the Shipping Act. *Hanover Shoe v. United Shoe Mach. Corp.*, 392 U.S. 481 (1968), held that a defendant in an antitrust action could not seek to limit its liability to a direct purchaser on the grounds that the direct purchaser passed on to its customers some or all of the price increase resulting from the antitrust violation. The Commission has adopted the same rule. *See Gov't of Guam*, 29 S.R.R. at 902 (noting that “the [direct purchaser standing] rule of *Oakland Motor* has been applied to a number of situations in which a respondent carrier attempted to use a “pass-on” allegation defensively”). Any new exception to the direct purchaser rule for complainants, including that sought by IPCs, logically requires a similar exception for respondents in defense of claims by direct purchasers. To state the proposition is to acknowledge that it is nothing more than legal quicksand.

Third, the IPCs claim that some, but certainly not all, state legislatures have passed so-called “*Illinois Brick* repealer” statutes. That, however, is irrelevant: the Commission is a federal agency applying a specific federal statute, and has applied the “direct purchaser” rule, a federal rule, without exception, for decades.

- (d) The IPCs’ eleventh-hour claim that they somehow are “shippers” is both factually unsupported and legally irrelevant.

Finally, the IPCs also argue that they have standing because they “may qualify as ‘shippers.’” App. at 24. That too is wrong. Even if the IPCs could establish that they are “shippers” as defined in the Shipping Act and the Commission’s regulations, that alone does not establish their standing to seek reparations. The issue is not whether a complainant is a “shipper,” but whether it sustained an “actual injury” under 46 U.S.C. § 41305(b), that is, whether it is a direct purchaser. A shipper is only a direct purchaser if it paid the freight to the ocean carrier. *Government of Guam, supra*, and *Sanrio, supra*, illustrate this point directly:

although consignees fall within definition of “shipper” in the Shipping Act and the Commission’s regulations, 46 U.S.C. § 40102(22); 46 C.F.R. 520.2, consignees lacked standing where the shipper, not the consignee, paid the freight to the carrier. *Gov’t of Guam*, 29 S.R.R. at 903; *Sanrio*, 19 S.R.R. at 907. The IPCs do not believe their own arguments: their complaints do not plead that they paid the ocean carriers -- respondents -- the freight on the shipments respondents transported; in fact, they expressly plead otherwise.

Notably, the IPCs do not cite to a single factual allegation from their complaints in support of this last minute, Hail Mary theory. App. at 24-27. Instead, the IPCs rely on materials that are not part of the record.³⁸ That basic deficiency independently dooms the IPCs’ argument.

Under the century-old direct purchaser rule, the IPCs – which readily admit that they are indirect purchasers -- lack standing to seek reparations under the Shipping Act. The Initial Decision properly dismissed their claims for lack of standing; the IPCs’ attempts to avoid straightforward application of the commonsense direct purchaser rule lack merit.

D. THE SHIPPING ACT’S THREE-YEAR STATUTE OF LIMITATIONS BARS
THE COMPLAINTS FOR REPARATIONS.

The Shipping Act’s terms are clear: it states that a claim for reparations must be filed “within 3 years after the claim accrues.” 46 U.S.C. §§ 41301(a), 41305(b); *see also* 46 C.F.R. § 502.62(a)(4)(iii). A Shipping Act claim generally accrues at the time when the complainant paid

³⁸ Regrettably, the IPCs attempt to support their argument that they are “shippers” and therefore direct purchasers by introducing new evidence into the record, App. Ex. F, and by referencing materials outside the record. App. at 23, 25 & n.12 (referencing shipping records). These improper references and the arguments based on them should be disregarded. *Carrier Int’l Corp. v. Waterman S.S. Corp.*, 23 S.R.R. 689, 694 (FMC 1985) (“We find these statements of fact and argument were improperly made after the close of the record and they have, therefore, not been considered on their merits.”). *See also* 46 C.F.R. §502.230 (governing reopening of the record after issuance of initial decision); *W. Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 883 n.11 (FMC 1993) (holding that new issues, particularly those requiring findings of fact to resolve, may not be introduced in exceptions to an initial decision).

the allegedly excess charges. *See Maher Terminals, LLC v. Port Authority of N.Y. & N.J.*, 32 S.R.R. 1185, 1191 (FMC 2013). In limited circumstances, the Commission’s discovery rule, however, contains a limited exception to the general accrual date. *Ibid.* (“Absent an exception, a claim accrues (and the statute of limitations begins to run) ‘when a defendant commits an act that injures a plaintiff’s business.’”). Under the discovery rule exception, a cause of action accrues when the complainant knows or should have known that it had a claim against the respondent. *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306 (FMC 2001) (adopting discovery rule); *Maheer Terminals, LLC*, 32 S.R.R. at 1191 (holding that “statute of limitations period will not begin to run until a party knew or with reasonable diligence should have known that it had a claim” (citing *Inlet Fish*, 29 S.R.R. at 314)). As the party seeking the benefit of the discovery rule, a complainant “has the burden of showing that it falls within the exception by demonstrating that, even with the exercise of reasonable diligence, it could not have known of the purported injury” inflicted by the respondent within the limitations period. *Maheer Terminals*, 32 S.R.R. at 1193 (citing *Cathedral of Joy Baptist Church v. Village of Hazel Crest*, 22 F.3d 713, 717 (7th Cir. 1994) (internal quotation marks omitted)).

The Initial Decision found that the Shipping Act claims here accrued on September 6, 2012, with the widely-publicized “dawn raids” on respondents and concluded that the Shipping Act complaints -- all filed well after the three-year limitations period expired -- are time-barred. Complainants appeal on two grounds. First, they contend that even if their Shipping Act claims accrued on September 6, 2012, the statute of limitations was tolled starting on May 24, 2013, when they first filed an antitrust class action in federal court based on similar facts. Second, complainants contend that the Shipping Act statute of limitations did not begin to run on September 6, 2012: despite having alleged differently in their federal court complaints,

complainants now say that they could not have known of their claims until May 2013, when they filed a 79-page/180 paragraph antitrust claim in federal court. App. at 27-28, 27 n.15.

The Initial Decision rejected both of those arguments. It held that complainants were not entitled to the benefit of any class action tolling under *American Pipe* as neither “Congress [n]or the Shipping Act have authorized such tolling in Commission proceedings.” Init. Dec. at 44. It reasoned that, because the previously filed class action complaints were filed in different courts, alleged different causes of action, and sought different remedies, *American Pipe* tolling cannot rescue complainants from themselves. *Id.* at 44. It further held that the widely-publicized “dawn raids” of September 6, 2012 gave complainants sufficient notice that the statute of limitations started to run as of that date. Init. Dec. at 46-48. In each respect, the Initial Decision is correct and should be adopted by the Commission.

1. Complainants’ federal court antitrust class action lawsuits did not toll the Shipping Act’s statute of limitations.

Complainants’ reliance on the class action tolling doctrine adopted in *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973), is misplaced for at least two separate reasons. First, the *American Pipe* tolling doctrine is inapplicable here because the Shipping Act’s statute of limitations is jurisdictional and thus not subject to *American Pipe* tolling. And, second, even if *American Pipe* tolling applied under the Shipping Act -- and it does not -- *American Pipe* and its progeny do not toll different causes of action under different statutes, with different remedies, and in different forums. Init. Dec. at 43–44.

(a) The Shipping Act’s three-year statute of limitations is jurisdictional and, therefore, not subject to tolling.

As a threshold matter, the Commission never has recognized *American Pipe* tolling. Complainants do not dispute this fact, but instead argue that the Commission has adopted tolling

principles from other forums “when the equities required it.” App. at 29. That argument, however, ignores the fact that complainants’ claims cannot be tolled under *American Pipe* because the Shipping Act’s statute of limitations is jurisdictional. The Commission and federal courts alike consistently have held that equitable tolling doctrines do not apply to jurisdictional statutes of limitation. See *W. Overseas Trade and Dev. Corp.*, 26 S.R.R. at 885 (holding that Shipping Act’s statute of limitations is “jurisdictional and cannot be waived” and thus “doctrine of equitable estoppel . . . has no application in Commission proceedings”).³⁹ Because the Shipping Act’s statute of limitations is jurisdictional, *American Pipe* tolling based on equitable considerations does not apply.⁴⁰

(b) *American Pipe* tolling does not apply here.

Complainants’ assertion that they are entitled to *American Pipe* tolling because their “antitrust suits in federal court . . . [were] based on the same facts” as their complaints before the Commission, App. at 28, is misguided. In respect of *American Pipe* tolling, identity of facts is irrelevant; *American Pipe* tolling only applies to subsequent individual causes of actions or

³⁹ *W. Overseas Trade* cites several cases likewise holding that the Shipping Act’s statute of limitations is jurisdictional and cannot be waived. See, e.g., *Fil-Am. Trading Co., Inc.*, 22 S.R.R. 1169, 1172 (1984); *Fiat-Allis Fr. Materials de Travaux Publics, S.A. v. Atl. Container Line*, 19 S.R.R. 1335, 1340-42 (1980); *Carton-Print, Inc. v. Austasia Container Express S.S. Co.*, 17 S.R.R. 571,581 (1977). See also *Application of OOCL (USA) Inc. for the Benefit of Connell Bros. Co., Ltd.*, 25 S.R.R. 1064, 1067 (FMC 1990) (rejecting tolling, and holding that “[t]he Commission has consistently held that after the expiration of the statutory period it has no longer any authority to grant the relief provided in section 8(e) of the Act”); *Floor Pro, Inc. v. U.S.*, 680 F.3d 1377, 1382 (Fed. Cir. 2012) (*per curiam*) (rejecting tolling where statute of limitations is “jurisdictional” and “sets forth absolute time limit for filing suit” and thus “cannot be extended even in cases where such an extension might be justified on equitable grounds” (citations and internal quotation marks omitted)); *Cada v. Baxter Healthcare Corp.*, 920 F.2d 446, 451 (7th Cir. 1990) (“Neither [equitable tolling nor equitable estoppel] applies to a jurisdictional statute of limitations.”).

⁴⁰ *Inlet Fish*, at note 6, made clear that *Western Overseas* “is not disturbed by our ruling” in *Inlet Fish*; complainants’ reliance on *Inlet Fish* to support their *American Pipe* argument fails.

claims identical to the ones alleged in the prior action. *Johnson v. Ry. Express Agency, Inc.*, 421 U.S. 454, 467 (1975) (explaining that *American Pipe* tolling “depended heavily on the fact that those filings involved exactly the same cause of action subsequently asserted”). The judicial economy rationale that undergirds *American Pipe* tolling seeks to avoid duplicate suits where putative class members need to intervene in a case -- in respect of which they may already be a party -- for the sake of preserving their identical claims.⁴¹ This rationale simply does not apply here, where the relevant statutes, causes of action, remedies, and forums are fundamentally different. Moreover, “the policies underlying *American Pipe* and like precedents simply do not apply in the cross-jurisdictional context,” such as between federal courts and the Commission. *In re Copper Antitrust Litig.*, 436 F.3d 782, 794-95 (7th Cir. 2006) (rejecting attempt to apply *American Pipe* tolling to initial state antitrust class action and later federal antitrust actions).⁴²

The Initial Decision carefully considered and rejected complainants’ *American Pipe* tolling arguments. Init. Dec. at 43-44. The Commission should adopt that analysis and reject complainants’ contrived tolling rule that “would allow an action in a jurisdictionally incompetent tribunal to toll the limitation for a lawsuit that it could never hear.” *In re Copper Antitrust Litig.*,

⁴¹ See, e.g., *Zarecor v. Morgan Keegan & Co. Inc.*, 801 F.3d 882, 887-89 (8th Cir. 2015) (holding that “*American Pipe* tolling should be limited to claims filed in a later action that are the same as those pleaded in the putative class action” because, where underlying claims are different, none of rationales justifying *American Pipe* apply); *Raie v. Cheminova, Inc.*, 336 F.3d 1278, 1282-83 (11th Cir. 2003) (*per curiam*) (holding that class action asserting product liability claims did not toll statute of limitations for subsequent wrongful death action under *American Pipe*); *Weston v. AmeriBank*, 265 F.3d 366, 368-69 (6th Cir. 2001) (rejecting *American Pipe* tolling because state law claims are “separate and distinct” from federal Truth in Lending Act claims).

⁴² *In re Copper* explains that “[*Johnson v. Ry. Express Agency, Inc.*, 421 U.S. 454 (1975)] illustrates the principle that there must be identity of claims for tolling to be operative.” *Id.* at 796. The same compelling considerations apply with even greater force here: the differences between federal/state antitrust and unfair competition laws, on the one hand, and the Shipping Act, on the other, are greater than the differences between federal and state antitrust law present in *In re Copper*.

436 F.3d at 796. Complainants do not assert that they brought, or even could have brought, claims in federal court under the Shipping Act.⁴³ They also fail to cite to any authority permitting cross-jurisdictional tolling between actions filed in federal court versus those filed before an administrative agency. Lacking any precedent whatsoever for such tolling, complainants wishfully ask that the Commission adopt a new and expansive tolling doctrine authorized by neither Congress nor the Shipping Act, one that goes far beyond *American Pipe*'s boundaries.

Inlet Fish, 29 S.R.R. at 306, also provides no comfort to complainants; they misconstrued the “flexible approach” adopted in *Inlet Fish* in respect of circumstances where a “potential complainant was unable to identify the existence of its cause of action.” *Inlet Fish*, 29 S.R.R. at 313. *Inlet Fish* addresses only when a complainant has sufficient knowledge of an injury to start the running of the statute of limitations; it has no application, however, to the question of tolling once the statute has started running. *Inlet Fish* is not a free-ranging warrant to incorporate other defenses to the statute of limitations, as complainants would have it, “when the equities [require] it.” App. at 29. Complainants’ tolling argument has nothing to do with determining when a cause of action accrues. They concede that, during their ostensible *American Pipe* tolling period, they were not only aware of, but actively litigating, the facts they now contend are relevant to their Shipping Act claims, albeit in a different forum, with a different cause of action, under different statutes, and seeking different remedies.

⁴³ “[A]ctions for reparations from violations of the Shipping Act lie within the ‘exclusive primary jurisdiction’ of the Federal Maritime Commission.” *Gov’t of Guam v. Am. President Lines*, 28 F.3d at 149 n.8 (citing *U.S. Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474 (1932); and *Far E. Conference v. U.S.*, 342 U.S. 570 (1952)).

Moreover, *Military Sealift Command, Department of the Navy v. Matson Navigation Co.*, 21 S.R.R. 459 (FMC 1982), does not aid complainants' ill-fated reliance on *American Pipe*. *Matson*, like *Inlet Fish*, addresses when a cause of action accrues. Unlike *Matson*, complainants' Shipping Act rights here did not depend on the outcome of a Commission investigation; complainants' Shipping Act claims could have advanced concurrently with the federal court litigation, as complainants conceded in opposing a stay of these actions. See March 1, 2017 Joint Status Report, at 1-2 ("Complainants intend to fully prosecute their claims under the Shipping Act regardless of the outcome of the MDL proceedings. The legal bases of Complainants' claims in the MDL proceedings and before the Commission differ markedly under the relevant statutes. And the potential remedies likewise differ." (emphasis supplied)).

Even if *American Pipe* tolling applied -- and it does not and should not -- complainants' Shipping Act complaints do not qualify for *American Pipe* treatment: complainants have admitted that their respective complaints before this Commission and the federal courts are premised on different causes of actions, asserted in different forums, and involve different remedies. Init. Dec. at 44. In those circumstances, the rule is simple: "the [Shipping Act's] statute of limitations is tolled only by the filing of a complaint with the Commission." *Fil-Am. Trading Co., Inc.*, 22 S.R.R. at 1172.⁴⁴

⁴⁴ Moreover, as discussed earlier, class action certification is not available in Shipping Act cases. Even if complainants are able to overcome the other hurdles they face in arguing for the application of *American Pipe* tolling, for obvious reasons, class action tolling cannot be applied in a forum that does not provide for class actions in the first place.

2. Complainants cannot satisfy their burden of demonstrating that, even with the exercise of due diligence, they could not have known of their Shipping Act claims within the limitations period.

The Initial Decision held that complainants were on notice of any potential injury by September 6, 2012, not May 24, 2013 -- when complainants now conveniently contend they were on notice by virtue of the filing of their own federal court antitrust action. App. at 27-28, 28 n.15. This assertion is contradicted directly by complainants' own allegations: in the very May 24, 2013 complaint on which they rely to trigger the start of the statute of limitation, complainants alleged that "the statute of limitations applicable to Plaintiffs' and the Classes' claims was tolled and did not begin to run until September 6, 2012[,]" the day on which the "dawn raids" occurred. May 24, 2013 Compl. at ¶ 119 (emphasis supplied).⁴⁵ The May 24, 2013 complaint concedes that the date of the "dawn raids" -- September 6, 2012 -- was the date on which the statute of limitations started to run, as it was when complainants were aware of potential causes of action. The May 24, 2013 complaint, as cited in complainants' appeal, contains a number of other admissions by complainants showing that they knew of facts starting the running of the statute of limitations by no later than September 6, 2012.⁴⁶

⁴⁵ For obvious reasons, although they did cite to and rely on it, *see* App. at 27-28, 28 n.15, complainants did not bring that entire complaint to the Commission's attention; for that reason, and as an aid to and for the convenience of the Commission, a true and correct copy of that complaint, reproduced from PACER, is attached hereto as **Exhibit "A"** and is made a part hereof by reference. *See* discussion of official notice, *post*. Two of the named complainants before the Commission - - Pamela Goessling and Thomas Goessling, *see* End-Payor Compl. ¶¶ 31-32 -- also were named plaintiffs in the *Nelson* federal complaint. *See* Exh. "A" at ¶¶ 20-21.

⁴⁶ For example, ¶ 109 of the May 24, 2013 complaint [Exh. "A"] states that complainants and the class members did not, and had no way to, discover the existence of the conspiracy until September 6, 2012, the date the Japan Free Trade Commission ("JFTC") announced the "dawn raids." In that same vein, ¶ 118 states that complainants and class members had no knowledge of "any facts or information that would have caused a reasonable diligent person to investigate whether a price-fixing conspiracy existed, until September 6, 2012[.]" when the dawn raids were announced. Complainants' assertion of facts is entirely situational. They cannot reconcile the

When the federal antitrust actions were consolidated into a single, multidistrict litigation proceeding, complainants restated their complaints in June 2014 as follows:

- The Freight Forwarders identify September 6, 2012 as the date the “global investigation of Defendants’ misconduct was first publicly reported” and allege that a reasonable person “would not have been alerted to begin to investigate the legitimacy of Defendants’ prices for Vehicle services before that time.” Ra0027 at ¶ 83.
- The End-Payors allege that they “did not discover, and could not have discovered through the exercise of reasonable diligence, the existence of the conspiracy alleged herein until September 6, 2012, the date the JFTC announced raids of certain Defendants’ offices for their role in the criminal price-fixing conspiracy alleged herein.” Ra0092 at ¶ 190. Accordingly, they assert that “the statute of limitations applicable to Plaintiffs’ and the Classes’ claims was tolled and did not begin to run until September 6, 2012.” Ra0095 at ¶ 200 (emphasis supplied).
- The Truck Centers affirmatively argue that “the running of any statute of limitations has been tolled with respect to any claims that Plaintiffs and members of the Truck and Equipment Dealer Classes have alleged in this Complaint and did not begin to run until September 6, 2012.” Ra0190 at ¶ 179 (emphasis supplied).
- The Auto Dealer recognize September 6, 2012 as the date that the dawn raids were announced, arguing that “the statute of limitations applicable to Plaintiffs’ and the Auto Dealer Classes’ claims was tolled and did not begin to run until September 6, 2012.” Ra0307 at ¶ 193 (emphasis supplied).

The facts are indisputable: despite recognizing in their federal antitrust complaints that the statute of limitations began to run on September 6, 2012, each complainant still waited for more than three years to file a reparations claim.⁴⁷

facts they alleged in May 2013 with those they assert today: admitting the truth of what they said in May 2013 means admitting that their Shipping Act claims are time-barred.

⁴⁷ The Freight Forwarders filed Dk. No. 16-01 on December 29, 2015 (3 yrs., 3 mos., 23 days after accrual); the End-Payors filed Dk. No. 16-07 on March 18, 2016 (3 yrs., 6 mos., 12 days after accrual); the Truck Centers on filed Dk. No. 16-10 on April 21, 2016 (3 yrs., 7 mos., 15 days after accrual); and the Auto Dealers filed Dk. No. 16-11 on April 22, 2016 (3 yrs., 7 mos., 16 days after accrual). All were untimely.

Complainants' Shipping Act complaints do differ from their federal complaints in one significant respect: their Shipping Act complaints notably omit the damning statement that "the statute of limitations did not begin to run until September 6, 2012." In lieu thereof, complainants' Shipping Act complaints make the conclusory and implausible assertion that they "could not have discovered the alleged contract, conspiracy, or combination at an earlier date by the exercise of reasonable diligence[,]"⁴⁸ a feeble attempt to resurrect already time-barred Shipping Act claims.⁴⁹

- (a) The Initial Decision properly found as fact that multiple news reports of the September 6, 2012 "dawn raids" placed complainants on notice sufficient to trigger the running of the statute of limitations.
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Complainants bear the burden of demonstrating that, in the exercise of reasonable diligence, they could not have known of their purported injury any earlier than three years before they filed their respective complaints. As the Initial Decision found, there were numerous contemporary media reports of the September 6, 2012 "dawn raids" and antitrust investigations that put complainants on notice and commenced the running of the statute of limitations. It

⁴⁸ Apart from complainants' federal court concession that they knew of the September 6, 2012 "dawn raids" and that the statute of limitations started to run as of that date, it is instructive that a different complainant -- General Motors LLC -- was able to file a timely complaint within the limitations period, stating that "September 6, 2012 [the date of the 'dawn raids' was] when the global investigation of Respondents' and their co-conspirators' misconduct was first publicly reported," and, thus, the trigger date for the statute of limitations. *General Motors LLC, v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 15-08, Compl. at ¶ LLLL. Like GM, complainants knew, or in the exercise of reasonable diligence should have known, that their Shipping Act claims belonged before the Commission and that the Shipping Act's statute of limitations started as of September 6, 2012, the date of the "dawn raids."

⁴⁹ Freight Forwarders Compl. Dk. No. 16-01 ¶ 95. *See also* End-Payers Compl. Dk. No. 16-07 ¶ 205 ("Complainants and members of the Class had no knowledge . . . of any facts or information that would have caused a reasonably diligent person to investigate whether a conspiracy existed, until May 2013."); Truck Centers Compl. Dk. No. 16-10 ¶ 182 (similar); Auto Dealers Compl. Dk. No. 16-11 ¶ 169 (similar).

discussed five separate news articles detailing the September 6, 2012 “dawn raids.” Init. Dec. at 47. Reasoning that “[e]ven a single news article can place a plaintiff on inquiry notice,” Init. Dec. at 46, the Initial Decision took official notice of the widespread news coverage of the “dawn raids,” concluding that the “dawn raids and publicity about them were sufficient that with due diligence, Complainants could have discovered their claims.” Init. Dec. at 47.⁵⁰ That conclusion is unassailable.

Nevertheless, complainants allege that they “had no means from which they could have discovered the combination and conspiracy.” App. at 33. Lacking any plausible evidence of notice outside of the September 6, 2012 media reports, complainants attack the Initial Decision on two grounds: (1) they assert that, by taking official notice of certain facts, the Initial Decision improperly considered information outside of the pleadings; and (2) they argue that news coverage of the “dawn raids” was insufficient to place them on inquiry notice of their Shipping Act claims. Both of these arguments fail.

⁵⁰ Complainants certainly were on notice as of May 2013 -- the date they repeatedly point to for their *American Pipe* tolling argument -- sufficient to file a federal court complaint. Yet, they make no attempt to explain the purported lack of notice between September 2012 and May 2013; when, before the filing of the May 24, 2013 federal court complaint they became aware of their cause of action; or, if not on September 6, 2012, to otherwise clarify how and when they assert their causes of action accrued. The Initial Decision emphasizes that complainants had sufficient information to file federal class actions within two years of the “dawn raids,” and the federal court ruling that dismissed the federal court actions with prejudice and which expressly instructed complainants that the Commission was the appropriate forum for their claims was issued less than three years after the “dawn raids,” such that Complainants still had ample time to bring a timely Shipping Act claim. Init. Dec. at 48. Ironically, the federal court ruling reminded complainants that the Shipping Act statute of limitations was three years and, taking complainants by the hand, “provided a citation to the Commission’s rule for filing private party complaints.” *Ibid.* Yet, complainants still failed to file timely Shipping Act complaints.

- (b) Commission precedent establishes that the Initial Decision properly took official notice of widespread media reports in the context of a motion to dismiss.

Complainants assert that it was improper to consider “extrinsic evidence” outside of the allegations of their complaints in ruling on respondents’ motion to dismiss. They, again, are wrong. The only Commission authority complainants offer is *Streak Products v. UTi*, 32 S.R.R. 1959 (ALJ 2013). Yet, nothing in *Streak Products* suggests that a presiding officer cannot take official notice of appropriate documents in ruling on a motion to dismiss. Nor does *Streak Products* state that taking official notice of facts somehow converts a motion to dismiss into one for summary judgment.⁵¹

Complainants’ unsupported and conclusory assertions notwithstanding, Commission precedent is clear: a presiding officer and the Commission proper may consider matters subject to official notice on a motion to dismiss. Init. Dec. at 46 (citing authorities); 46 C.F.R. § 502.226(a); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 49 n.1 (FMC 2015) (explaining that, when “evaluating a motion to dismiss for failure to state a claim the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice”); *Stevens Shipping and Terminal Co. v. S.C. State Ports Auth.*, 23 S.R.R. 267, 299 n.25 (ALJ 1985) (taking official notice of news article in Journal of Commerce). As *Marine Repair Services of Maryland v. Ports America* explains, “[o]fficial notice is broader than judicial

⁵¹ *Streak Products* referred only to the allegations of the complaint, but neither of the parties appear to have requested otherwise. Complainants seem to rely on *Streak Products* solely because it involved the denial of a motion to dismiss based on statute of limitations; it is inapposite to this case.

notice and may be taken, not only of public records and generally accepted facts, but also of matters within an agency's area of special expertise." 32 S.R.R. 1133, 1161 n.39 (ALJ 2013).

Complainants' challenge to the Initial Decision's official notice of matters asks that the Commission overturn prior precedent expressly allowing official notice of appropriate matters on a motion to dismiss. Complainants not only fail to acknowledge controlling precedent, they also fail to tender any compelling reason against the appropriate use of official notice here.

- (c) The Initial Decision properly concluded that media reports of the September 6, 2012 "dawn raids" were sufficient to put reasonable complainants on inquiry notice.

Complainants' last attack on the Initial Decision is equally specious: even if they were aware of the dawn raids as of September 6, 2012 -- a fact they notably never deny -- news articles "do not compel a finding that Complainants knew they had a claim." App. at 34. That argument misconstrues the discovery rule. Under the discovery rule, a complainant need not have actual knowledge of a cause of action; rather, it asks when a party objectively was on inquiry notice and "with reasonable diligence should have known that it had a claim." *Maher Terminals*, 32 S.R.R. at 1191 (emphasis in original). Complainants make no effort to rebut the commonsense notion that reasonably diligent complainants "should have known" of potential Shipping Act claims no later than September 6, 2012, when widespread news publications reported on the "dawn raids" of respondents' offices and the accompanying global antitrust investigations. As the Initial Decision concluded, the "publicity regarding the dawn raids was sufficient for Complainants, exercising due diligence, to have discovered their claims." Init. Dec. at 47. Complainants concede this point when they argue that they were required to undertake "[a]dditional factual investigation -- coupled with economic analysis," at the time of the news reports of the "dawn raids." App. at 34. Even complainants recognize that any

investigation following notice of the “dawn raids” would have resulted in a reasonable person having knowledge of a potential claim. That is all the discovery rule requires. *See, e.g., Jensen v. Snellings*, 841 F.2d 600, 607 (5th Cir. 1988) (explaining that reasonable diligence “imposes an affirmative duty upon the potential plaintiff to seek out the facts of his potential claims”).⁵²

In light of the widespread reporting of the “dawn raids” and investigations, complainants’ conclusory assertions in their Shipping Act complaints regarding when they knew of their purported injuries are implausible and cannot be credited. As the Initial Decision recognized, complainants had all of the facts needed to bring their claims long before the limitations period expired; they certainly had them when, well before the Shipping Act’s statute of limitations expired, they filed their federal antitrust and state competition complaints in federal court. For strategic reasons, complainants chose not to use those alleged facts to bring Shipping Act claims and ignored respondents’ -- and the U.S. District Court’s -- admonitions that the claims were in the wrong forum. They intentionally chose what they perceived as more attractive claims and a

⁵² *See also* respondents’ April 26, 2017 brief in support of their consolidated motion to dismiss. Lacking any other viable arguments, complainants cite to three federal court cases for the proposition that an investigation does not always mean a company has participated in a conspiracy. App. at 33-34. None of them is relevant: each involved motions to dismiss that attacked the sufficiency of the pleadings, and did not address the triggering of the statute of limitations. The plaintiffs in all three of those cases pointed to investigations and/or subpoenas to argue that they had stated plausible claims for relief. None of those cases involved a statute of limitations issue, nor did any address the more relevant question of whether notice of a governmental investigation suffices to place a party on inquiry notice of a potential cause of action. The widespread coverage of the “dawn raids” was enough to cause any reasonable party in complainants’ shoes to investigate further. That is all that is required under the discovery rule for Shipping Act causes of action to accrue.

Similarly, complainants purported “fears” of “flooding” the docket lack merit. The discovery rule does not require that a potential Shipping Act complainant “rush to file any claim they might have[;]” rather, once on notice of facts sufficient to give rise to further investigation, a potential complainant is obliged to investigate and file a claim for reparations within three years. Period.

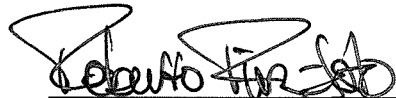
more attractive forum, and allowed the Shipping Act limitations period to slip through their hands.

CONCLUSION.

For the foregoing authority, arguments and reasons, respondents respectfully pray that the Appeal be denied, the Initial Decision be adopted by the Commission, and that the Commission issue such other and further relief as it deems just and proper consistent with this prayer for relief.

Respectfully submitted,

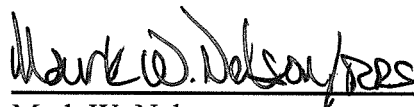
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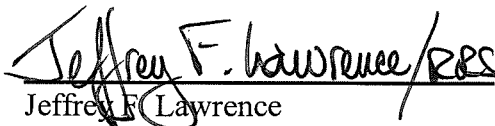
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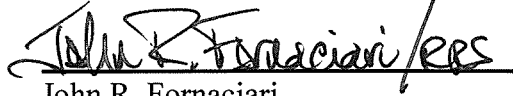
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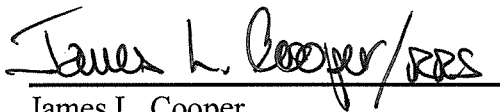
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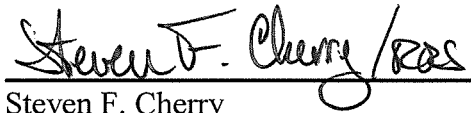
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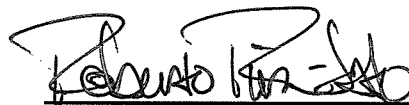
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CERTIFICATE OF FILING AND SERVICE

I hereby certify that, on August 21, 2018, a true and correct copy of the foregoing respondents' consolidated reply to complainants' July 30, 2018 appeal from the May 7, 2018 initial decision granting in part and denying in part respondents' motion to dismiss and supplemental motion to dismiss was filed electronically with the Secretary of the Federal Maritime Commission, eight paper copies of the same were sent to the Secretary of the Federal Maritime Commission via overnight courier service, and electronic copies thereof were sent to all lead/liaison counsel for complainants identified in the Commission's March 16, 2017 order.

DATED: August 21, 2018

A handwritten signature in black ink, appearing to read "Roberto Rivera-Soto", written over a horizontal line.

Roberto A. Rivera-Soto